Modi's own initiatives to bridge the skill gap have yielded underwhelming results so far, its sharpest illustration being the Prime Minister's Internship Scheme. Across its first three pilot rounds, companies made about 186,000 offers. Just over 16,000 young people joined, roughly one and a half per cent of those who applied. From April this year, the scheme was thrown open to MSMEs, global capability centres and statutory bodies, and the monthly stipend was raised from Rs 5,000 to Rs 9,000. The government needs to come up with a radical revamp of the education system with a heavy emphasis on vocational skills and upgrades to ensure youth are gainfully employed. The National Education Policy (NEP) 2020 has plenty of good intentions but must be implemented rapidly.

THE CASCADING EFFECT OF FUEL PRICE HIKES DUE TO THE WEST ASIA CRISIS HAS PUSHED UP RETAIL AS WELL AS FOOD INFLATION



2. BOOSTING THE ECONOMY

What has perplexed many is why an economy said to be growing at more than 7 per cent has failed to deliver a broader sense of prosperity. Private investment has remained sluggish despite the Centre's sustained push to kick-start the investment cycle through large-scale public spending. India has also struggled to harness its demographic dividend, failing to generate enough jobs for the roughly 12 million people who enter the workforce each year. Nor has it been able to move the needle on manufacturing, whose share of GDP has remained stubbornly stuck at a low 16-17 per cent for years.

Of course, the war in West Asia has been a big drag on the economy. India imports nearly half its crude oil, 60 per cent of its natural gas and 90 per cent of its liquefied petroleum gas (LPG) from the region. Two-thirds of the country's urea imports also originate there. The closure of the Strait of Hormuz during the US-Iran conflict had already choked supplies to India; the attacks by Houthi rebels on Saudi Arabian oil installations along the Red Sea coast have now affected shipping traffic through the alternative Bab el-Mandeb Strait. On July 23, Brent crude hit the $100 a barrel mark for the first time since May. Most analysts forecast it remaining in the $80-85 range this fiscal, as much as 15 per cent higher than the previous financial year.

The Centre had hiked fuel prices multiple times during the Iran war, leading to a cumulative Rs 7.50 per litre rise in both petrol and diesel, and with crude oil prices continuing to be volatile, it will be in no hurry to reverse the hikes. Higher fuel prices have a cascading impact on the economy, hiking input costs that subsequently make goods and services more expensive. Combined with higher food inflation, this has led to the sharpest rise in retail inflation in 18 months this June. The Reserve Bank of India (RBI) has forecast inflation to remain



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